AIB AXYS AFRICA

www.aib-axysafrica.com



Stanbic Bank

A member of Standard Bank Group

Stanbic Holdings HY'24 Earnings Note

research@aib-axysafrica.com

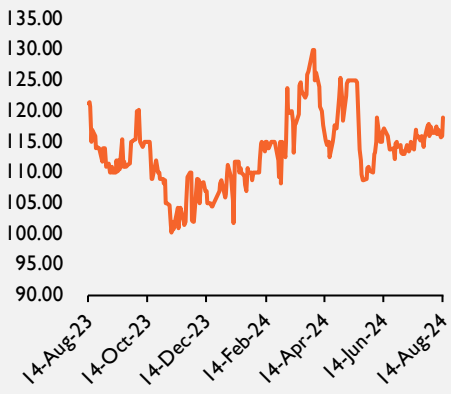


Stanbic Bank HY'24 Earnings Note

August 15th , 2024

Ticker Information	
NSE Code:	SBIC
Issued Shares :	290,521,872
52-week high:	KES 130.00
52-week low:	KES 100.25

Chart 1: Price Trend (Last 12 Months)



Source: NSE, AIB-AXYS Research

Historical Share Performance

Last	1M	3M	6M	12M
Change	4.6%	-4.8%	3.5%	-1.9%

Source: NSE, AIB-AXYS Research

Analysts

Ronny Chokaa

rchokaa@aib-axysafrica.com

Stacy Makau

smakau@aib-axysafrica.com

Recommendation	Current Price	Target Price
BUY	**KES 119.00**	**KES 137.67**

Summary

- **Stanbic Holdings PLC HY'24 earnings results were modest with a 2.3% y/y growth in net earnings to KES 7.21 Bn through the first half of 2024.** This growth was achieved in the face of a 4.0% y/y decrease in revenue, largely offset by a significant 10.1% y/y reduction in total operating expenses. Net interest margin contracted 80bps to 2.7%. Trailing return on equity remained stable at 18.5% while trailing return on assets edged down 30bps to 2.8%.

Key Highlights

- **Non-Funded Income Under Pressure :** Non-Funded income declined significantly by 15.1% y/y to KES 7.56Bn attributable to reduced trading revenue, resulting from narrowing margins and the absence of a notable one-off transaction that had boosted figures in 2023. In contrast, net interest income showed modest growth increasing by 4.2% y/y to KES 12.55Bn attributable to the expansion of the loan book and improved yield on assets. NII:NFI revenue mix shifted to 62:38 from 58:42 in HY'23 tilting heavily to net interest income. The average yield on interest-earning assets increased 100bps y/y to 6.2% % owing to higher reinvestment returns on customer assets and investment securities. However, this increase was watered down by a 170bps y/y upsurge in cost of funds to 3.4% attributed to the prevailing high interest rate landscape. Consequently, the net interest margin contracted 80bps to 2.7%.
- **Resilient Asset Quality:** Gross Non-Performing Loans (NPL's) decreased by 2.6% y/y to KES 24.40Bn leading to the gross NPL ratio decreasing 170bps to 6.8%. NPL coverage improved to 75.0% from 57.5% in HY'23. Cost of risk declined 30bps. We expect asset quality to remain robust supported by management's disciplined approach to risk management within the loan portfolio.

Balance Sheet Dynamics

Customer deposits surged 35.8% y/y to KES 387.57Bn providing a robust funding base for the bank's lending activities. The loan book expanded 28.4% y/y to KES 361.40Bn. Notably, management strategically bulked up its holdings in investment securities by 36.3% y/y to KES 74.60Bn in the current high-yield environment. This increased allocation is aimed to capitalize on attractive returns while maintaining liquidity.

Improved Operating Efficiency

Operational efficiency improved with the Cost to Income ratio less impairment declining 120bps y/y to 40.4% (management guidance is lower 40s). This improvement was primarily driven by a 10.1% y/y reduction in operating expenses to KES 10.08Bn, reflecting the payoff from significant investments made in the previous year and the absence of on-off operational costs. Credit impairment provisions saw a substantial decrease of 21.7% y/y to KES 1.96Bn, benefiting from the appreciation of the shilling and enhanced credit risk management practices.

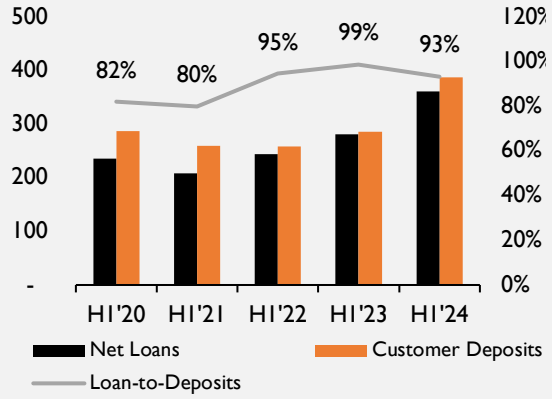
Outlook

We project Stanbic Holdings' growth to be fueled by key strategic initiatives. These include forging partnerships to boost lending and deposits, enhancing digital platforms for better customer service, and sharpening focus on asset quality and risk-based pricing. The bancassurance segment is expected to drive non-funded income growth, while a more favorable economic climate could revitalize investment banking. We anticipate continued improvement in loan book quality, backed by the management's strong commitment to comprehensive risk management.

Recommendation

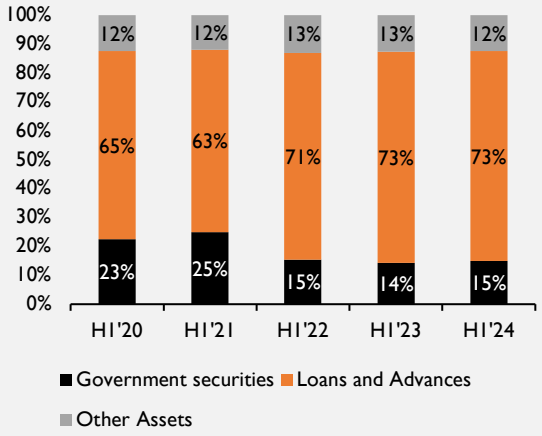
- **We maintain our BUY recommendation on Stanbic Holdings on account of stable return on equity and projected steady revenue growth.** At the current market price, the stock is trading at P/E ratio of 3.8x and a P/B ratio of 0.7x. Our on-year target price for Stanbic currently stands at KES 137.67 - representing a c.16% upside potential from current levels.

Chart 2: Faster Deposit Mobilization



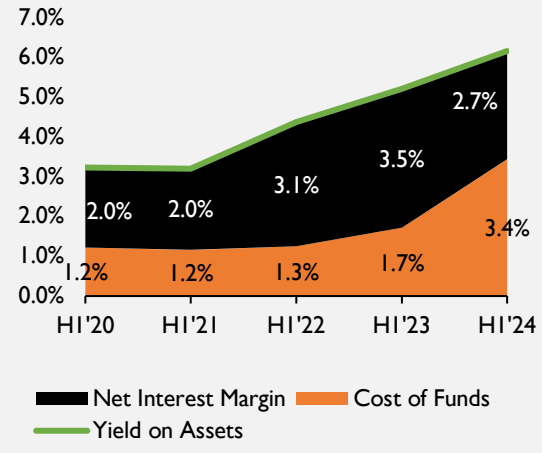
Source: Company filings, AIB-AXYS Research.

Chart 3: Asset Composition Mix



Source: Company filings, AIB-AXYS Research.

Chart 4: Contracting Net Interest Margin



Source: Company filings, AIB-AXYS Research.

Income Statement (KES Bn)	FY'20	FY'21	FY'22	HY'23	FY'23	HY'24	% y/y Change
Net Interest Income	12.80	14.37	18.95	12.05	25.65	12.55	▲ 4.2%
Net non-Interest Income	10.44	10.62	13.14	8.90	15.67	7.56	▼ (15.1%)
Total Operating income	**23.24**	**24.99**	**32.08**	**20.95**	**41.32**	**20.11**	▼ (4.0%)
Loan Impairment Provisions	(4.88)	(2.52)	(4.94)	(2.50)	(6.24)	(1.96)	▼ (21.7%)
Total Operating expenses	(12.13)	(15.23)	(19.91)	(11.21)	(24.22)	(10.08)	▼ (10.1%)
Profit before tax	**6.23**	**9.76**	**12.17**	**9.73**	**17.09**	**10.03**	▲ 3.0%
Profit after tax	**5.19**	**7.21**	**9.06**	**7.05**	**12.16**	**7.21**	▲ 2.3%
Core EPS Annualized	13.13	18.23	22.92	35.67	30.75	36.50	▲ 2.3%
DPS	3.80	9.00	12.60	1.15	15.35	1.84	▲ 60.0%

Balance Sheet (KES Bn)	FY'20	FY'21	FY'22	HY'23	FY'23	HY'24	% y/y Change
Government Securities	87.58	59.54	83.55	54.73	45.34	74.60	▲ 36.3%
Loans and Advances	196.30	229.32	266.83	281.39	356.21	361.40	▲ 28.4%
Total Assets	**328.59**	**328.87**	**399.83**	**384.28**	**459.28**	**497.93**	▲ 29.6%
Customer Deposits	259.97	254.59	304.32	285.38	347.24	387.57	▲ 35.8%
Total Liabilities	276.86	272.42	337.63	320.33	390.73	428.57	▲ 33.8%
Total Equities and Liabilities	**328.59**	**328.87**	**399.83**	**384.28**	**459.28**	**497.93**	▲ 29.6%

Ratio Analysis	H1'20	H1'21	H1'22	H1'23	H1'24	% y/y Change
Spreads Analysis						
Yield on Assets	3.2%	3.2%	4.4%	5.2%	6.2%	▲ 1.0%
Cost of Funds	1.2%	1.2%	1.3%	1.7%	3.4%	▲ 1.7%
Net Interest Margin	2.0%	2.0%	3.1%	3.5%	2.7%	▼ (0.8%)
ROaE	10.9%	11.9%	15.2%	18.5%	18.5%	▼ (0.0%)
ROaA	1.5%	1.8%	2.5%	3.1%	2.8%	▼ (0.3%)
Profit Margin	22.7%	28.3%	31.5%	33.7%	35.9%	▲ 2.2%
Operating Efficiency						
Cost to Income Less LLP	28.1%	48.9%	48.2%	41.6%	40.4%	▼ (1.2%)
Cost to Assets Less LLP	0.9%	1.8%	2.1%	2.3%	1.6%	▼ (0.6%)
Loan to Deposit	81.9%	79.9%	94.5%	98.6%	93.2%	▼ (5.4%)
Asset Quality						
Gross NPL Ratio	9.0%	10.0%	9.9%	8.5%	6.8%	▼ (1.7%)
NPL Coverage	64.8%	51.2%	56.0%	57.5%	75.0%	▲ 17.5%
Cost of Risk	0.8%	0.7%	0.5%	0.9%	0.5%	▼ (0.3%)
Capital Adequacy						
Core Capital/TRWA	15.4%	16.0%	14.0%	13.9%	13.5%	▼ (0.4%)
Total Capital /TRWA	17.9%	18.1%	16.2%	17.4%	16.4%	▼ (1.0%)
Liquidity	58.4%	56.4%	35.9%	40.3%	52.8%	▲ 12.5%



CONTACTS

Research Desk

Ronny Chokaa

Senior Research Analyst

Stacy Makau

Research Analyst

Alex Sanja

Sheila Wambui

Email: research@aib-axysafrica.com

Equities Dealing

Nina Goswami

Bernard Kung'u

Benard Gichuru

Anthony Kiambati

Samuel Githinji

Sheema Shah

Samuel Wachira

Benson Ngugi

Email: trading@aib-axysafrica.com

Bond Dealing

Crispus Otieno

Titus Marenye

Aundrina Musyoka

Kenneth Minjire

Email: trading@aib-axysafrica.com

Derivatives Trading

Anthony Kiambati

Email: Derivapplications@aib- axysafrica.com

Disclaimer

AIB-AXYS Africa and its parent company AXYS Group seek to do business with companies covered in their research reports. Consequently, a conflict of interest may arise that could affect the objectivity of this report. This document should only be considered a single factor used by investors in making their investment decisions. The reader should independently evaluate the investment risks and is solely responsible for their investment decisions. The opinions and information portrayed in this report may change without prior notice to investors.

This publication is intended solely for informational purposes and is not authorized for public distribution or use by the public media without prior and express written consent of AIB-AXYS Africa or AXYS Group. Redistribution or dissemination of this material, in whole or in part, is strictly prohibited and may lead to legal actions. By accessing this report, you acknowledge and agree to abide by these terms, ensuring the security and confidentiality of its contents.

This document does not constitute an offer, or the solicitation of an offer, for the sale or purchase of any security. Whilst every care has been taken in preparing this document, no representation, warranty or undertaking (express or implied) is given and no responsibility or liability is accepted by AIB-AXYS Africa or any of its employees as to the accuracy of the information contained and opinions expressed in this report.

Unlock our Exclusive Research spanning Macroeconomics, Equities, Fixed Income, and Sector-Specific Analyses now seamlessly on AlphaSense, LSEG, Tellimer, and S&P platforms

S&P Global Tellimer AlphaSense LSEG